

IBM Apptio Benchmarking

Peer comparisons of technology spend over time

Level 2 client presentation

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Gartner indicates that...

90%

of mature IT organizations embed the use of baselines and benchmarks in annual planning, compared to only 34% of other organizations¹



"Carrying out a benchmarking exercise builds the discipline of cost transparency, and the ability to cut and segment your IT budget into multiple views for different audiences and ultimately better communicate the value of IT's spend."

Bryan Hayes (Sr Director Analyst, Gartner)
Robert Naegle (VP Analyst, Gartner)

What is IT Benchmarking?

1

Comparing the costs, performance, and outcomes of your organization with others in your industry or geo

2

Using the comparative data to assess whether you're performing above, on-par, or below average

3

Implementing strategies based on benchmark findings to address gaps, leverage strengths, and optimize IT operations, spend, and infrastructure

Enables continuous improvement and empowers organizations to stay competitive and efficient, while also facilitating more informed decision-making.

Challenges with traditional benchmarking efforts

Resource blind spots



IT organizations lack ways to objectively assess resource levels

Budget justification



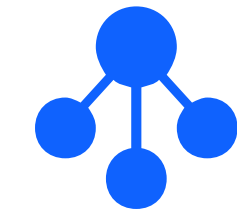
Costs and budgets cannot be justified or defended objectively

Lack of visibility



Areas of efficiency or inefficiency go undetected

Static benchmarking

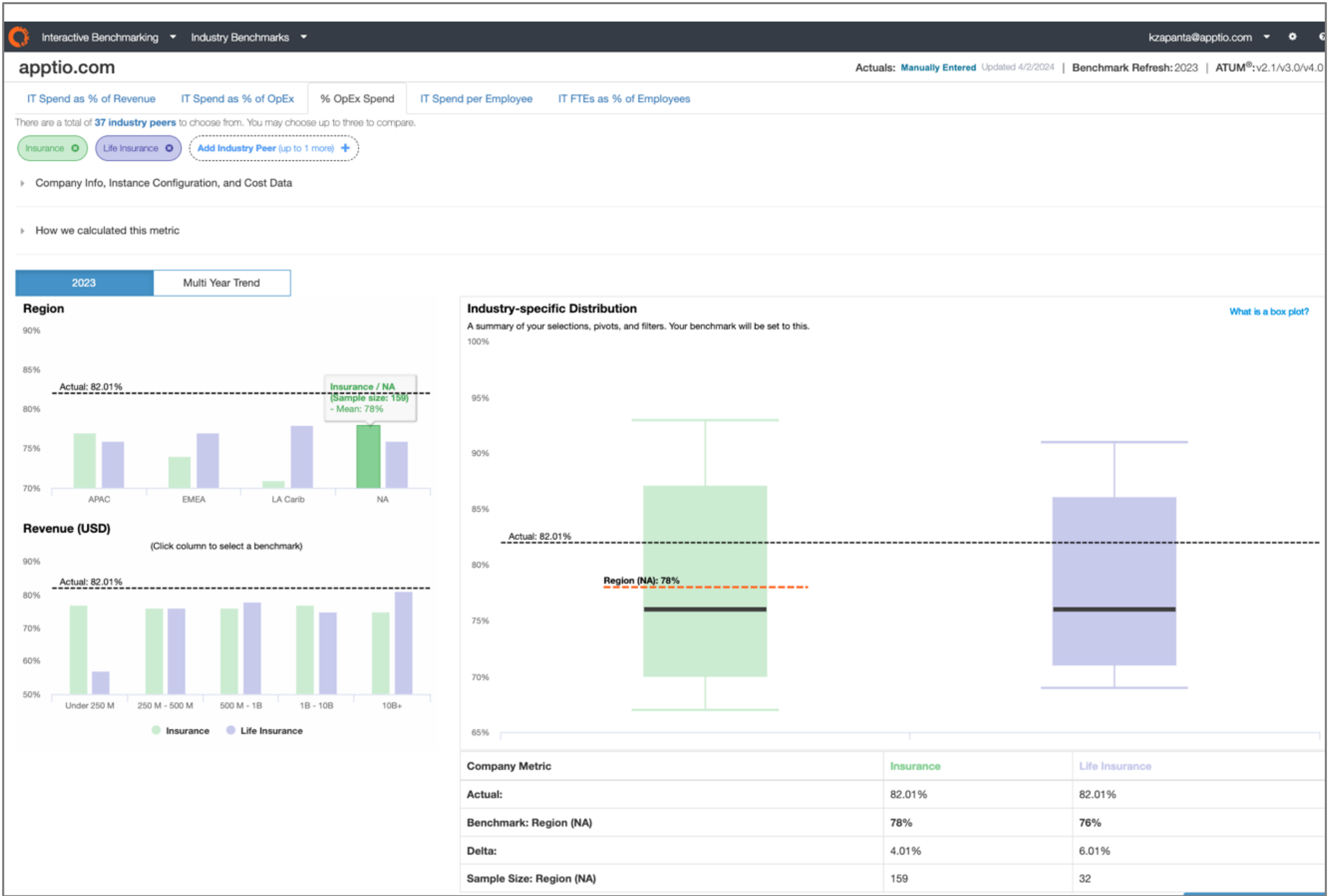


Traditional benchmarking consulting engagements are time-consuming

Provide a point-in-time snapshot vs. ongoing, up-to-date benchmarking data

IBM Apptio Benchmarking

Self-service peer comparisons of your technology spend over time
Enables an ongoing process for tracking performance, validating decisions, and identifying areas for improvement



Track

Continually monitor actuals against industry benchmarks and track improvement efforts

Validate

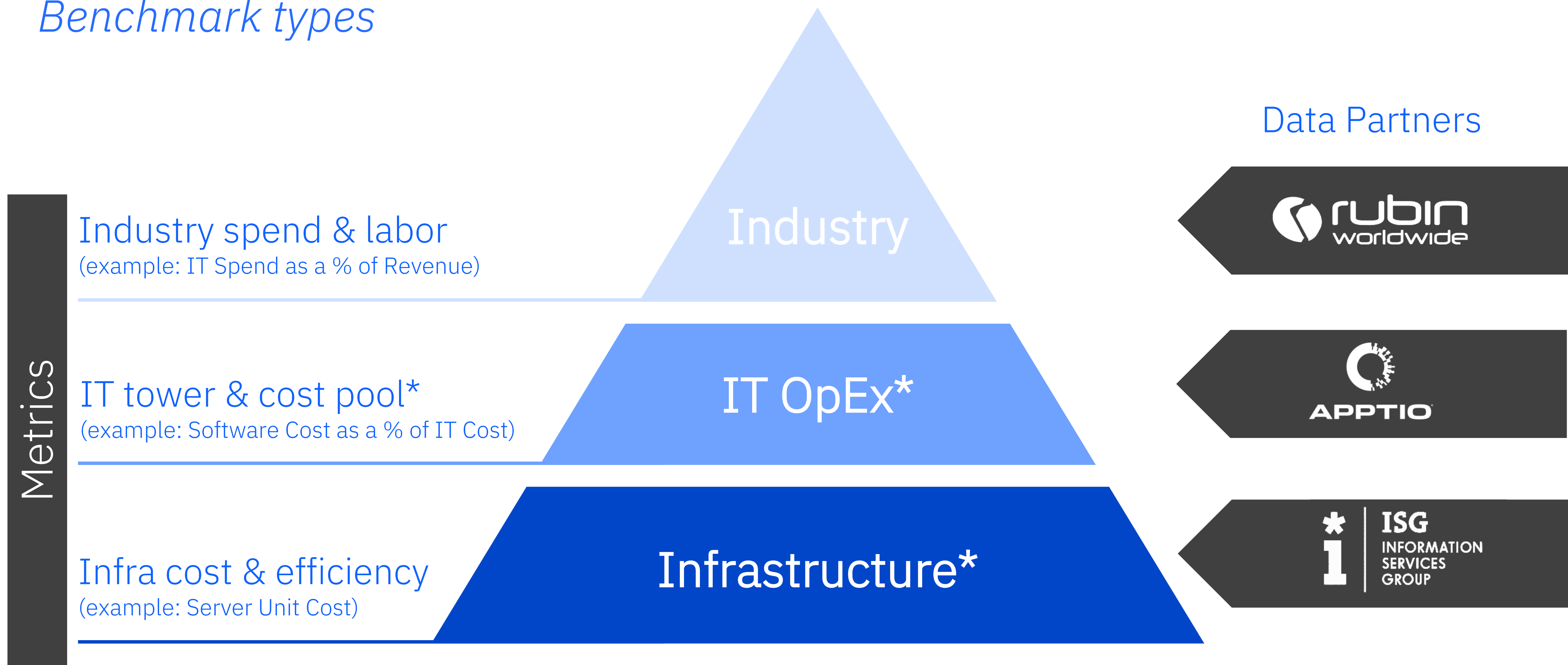
Gain insight into your IT performance against peers with like-to-like comparisons based on an industry-standard frame, helping ensure informed decisions

Identify

Understand where you stand in comparison to peers and identify areas of improvement and risks

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Benchmark types



*assigned & allocated by using the standard ATUM taxonomy

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ATUM v.3 Benchmarks

Industry Benchmarks
- IT Spend as a % of Org Revenue - IT Spend as a % of Org OpEx - OpEx % of IT Spend - IT Spend per Employee - IT FTEs as a % of Employees

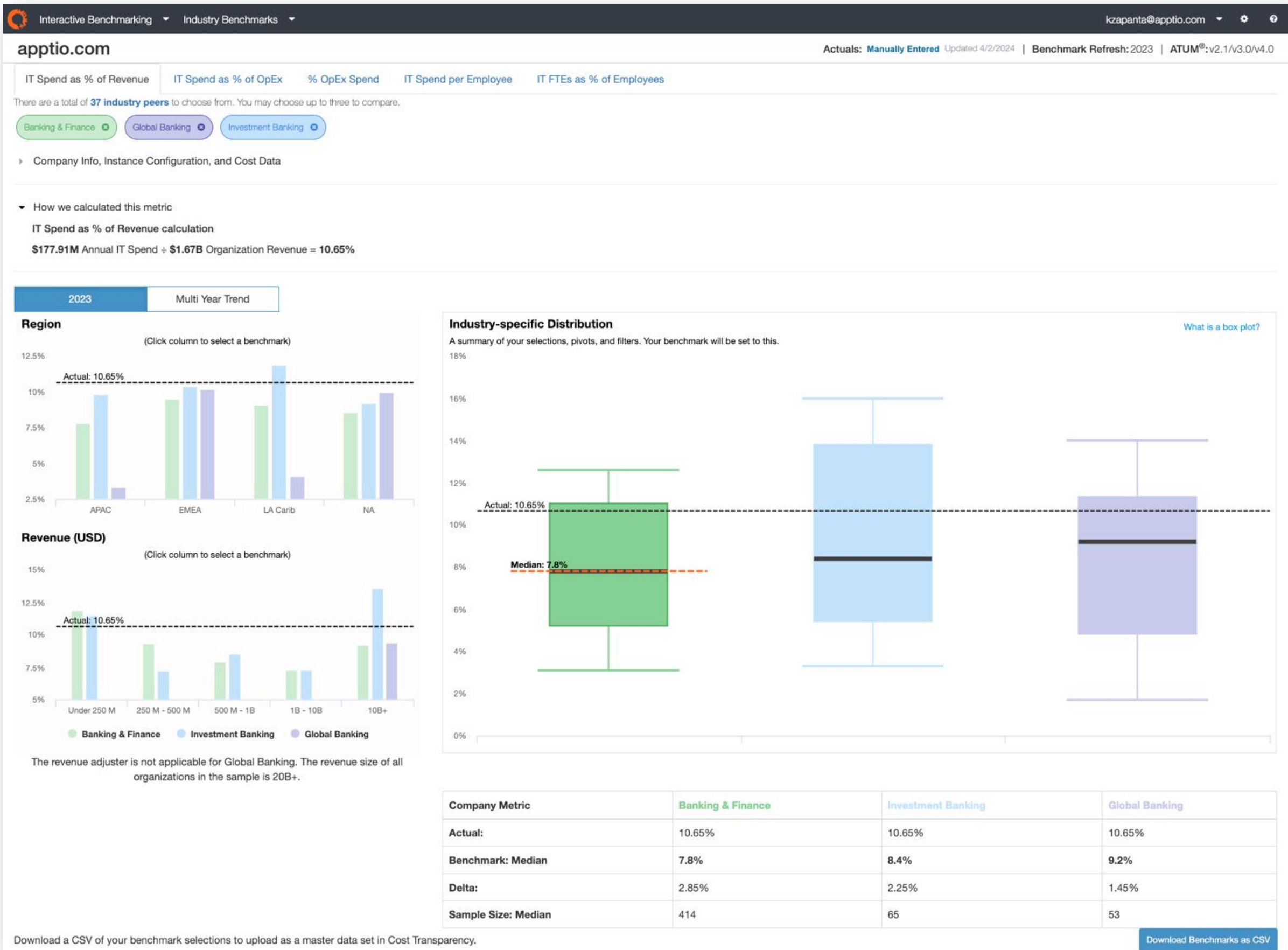
IT OpEx Benchmarks (Cost as a % of IT OpEx)	
IT Towers	Standard Financial Cost Pools
- Application - Compute - Data Center - Delivery - End User - IT Management - Network - Output - Security & Compliance - Storage	- Internal Labor - External Labor - Hardware - Software - Outside Services - Facilities & Power - Telecom - Other

Other Application Related Metrics
% of Application Cost by Sub-Tower (App Dev, App Support & Ops, Purchased SW)

Infrastructure Benchmarks			
TOWER/SUB-TOWER	UNIT COST	FTE EFFICIENCY	COST POOL COMPOSITION
Compute			
- Servers (Windows/Linux)	.	.	.
- Unix	.	.	.
- Midrange	.	.	.
- Mainframe	.	.	.
Storage			
- Online	.	.	.
- Offline	.	.	.
- Mainframe Online	.	.	.
- Mainframe Offline	.	.	.
Network			
- LAN/WAN	.	.	.
- Voice	.	.	.
- Transport	.	.	.
Platform			
- Database	.	.	.
- Middleware	.	.	.
- Mainframe Database	.	.	.
- Mainframe Middleware	.	.	.
End User			
- Workspace	.	.	.
- Mobile Devices	.	.	.
- End User Software	.	.	.
- Conferencing & AV	.	.	.
- IT Help Desk	.	.	.
- Deskside Support	.	.	.
Delivery			
- IT Service Management	.	.	.
IT Management	.		.
Output	.	.	.
Email	.	.	.

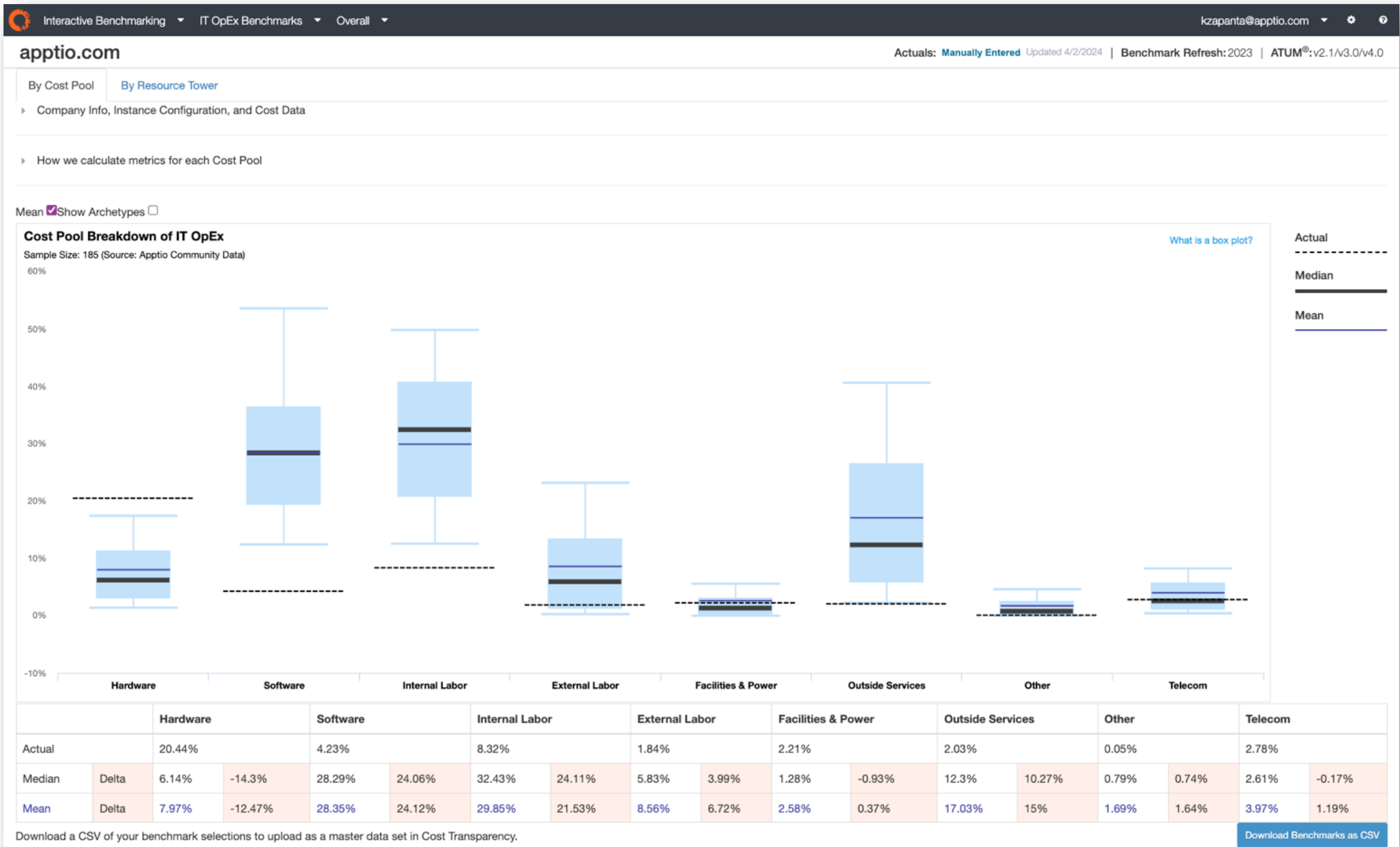
Understand overall investments in comparison to self-selected peers

- Know where your strategic overall investments fit in comparison to industry peers
- Compare annual IT spend from industry peers (i.e., IT Finance, Global Banking, and Commercial Banking) based on location
- Identify areas of risk, set targets, monitor improvement efforts, and justify and defend costs
- Select by industry, revenue, and geography, similar spend characteristics and discover the effects of scale
- Compare and contrast benchmarks for:
 - IT Spend as % of revenue
 - IT Spend as % of operating expense
 - % OpEx Spend
 - IT Spend per Employee
 - IT FTEs as % of Employees



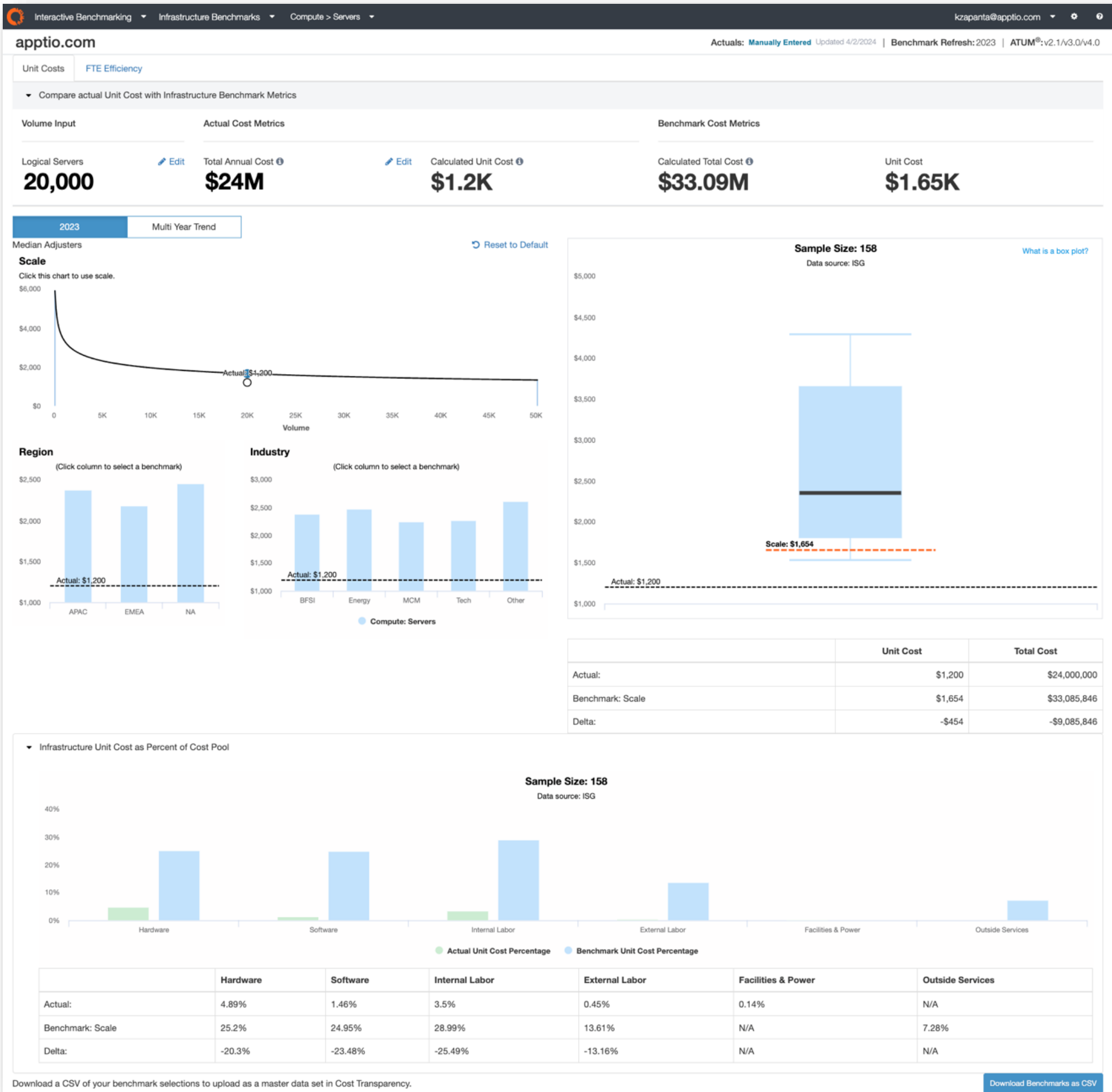
Understand IT OpEx

- Explore and uncover insights to inform better decisions
- Compare actual IT costs to benchmarks side by side on demand
- Understand if you are spending more or less than peers in Hardware, Software, Resources, Facilities & Power, and Telecom
- Gain clarity on your operating environment (on-premises, cloud, and so forth)



Understand infrastructure efficiency in comparison to peers

- Compare and contrast efficiency for compute, storage, network, platform, end user, delivery, IT management output, and email
- Compare to self-selected peers based on industry and geography
- Know how efficient you are on costs and labor
- Explore variance drivers
- Set targets and track progress with trending comparisons



Addressing critical market needs

Compare your costs. Defend your budgets.

Cost Justification & Defensibility

- Get a view of actual IT spend vs. self-selected benchmarks to know where you stand relative to peers
 - Conduct a "what-if" scenario analysis with the flexibility to adjust peer benchmarks and estimate actuals
 - Communicate and defend decision-making by comparing against up-to-date and accurate data of companies of similar spend characteristics
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Gain Clarity on Investments

- Identify areas of risk, set targets, and monitor improvement efforts
 - Choose and adjust the peer group that fits your organization – by industry, revenue, geography, and more
 - Accelerate decision-making by understanding where you stand in comparison
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Unlock IT Investment Efficiency

- Benchmark and understand IT spend efficiency
- Identify areas of technology investment inefficiency
- Set targets and track progress with trending comparisons

Thank you

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